Dolph Research

EQUITY RESEARCH NOTE March 9, 2026

FLOWERS FOODS, INC

Revenue	Net Income
$5.26B	$84M
3.0%	-66.2%

Operating Margin	Free Cash Flow
3.3%	$319M
-51.5%	13.7%

Executive Summary

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28

FLO posted $5.26B in revenue (3.0% YoY) and $84M in net income (-66.2% YoY) for 2026-01-03. The profitability profile is defined by operating margin of 3.3% and net margin of 1.6%, framing the earnings quality behind the headline figures.
The balance sheet carries a moderate profile at 1.65x debt-to-equity and 0.75x current ratio, which is serviceable but leaves less margin for error under stress. The quick ratio of 0.54x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $446M in operating cash flow (8.1% YoY), which converts to $319M in free cash flow (13.7% YoY). Capital expenditures of $127M (2.4% of revenue) show the reinvestment burden required to sustain the current operating base. The conversion of earnings into operating cash flow suggests the reported result is supported by cash generation rather than dominated by accruals.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$5.26B	$5.10B	3.0%
Net Income	$84M	$248M	-66.2%
Operating Margin	3.3%	6.8%	-51.5%
Debt-to-Equity	1.65x	0.73x	126.9%
Current Ratio	0.75x	1.20x	-37.6%
Free Cash Flow	$319M	$281M	13.7%

Revenue
$5.26B

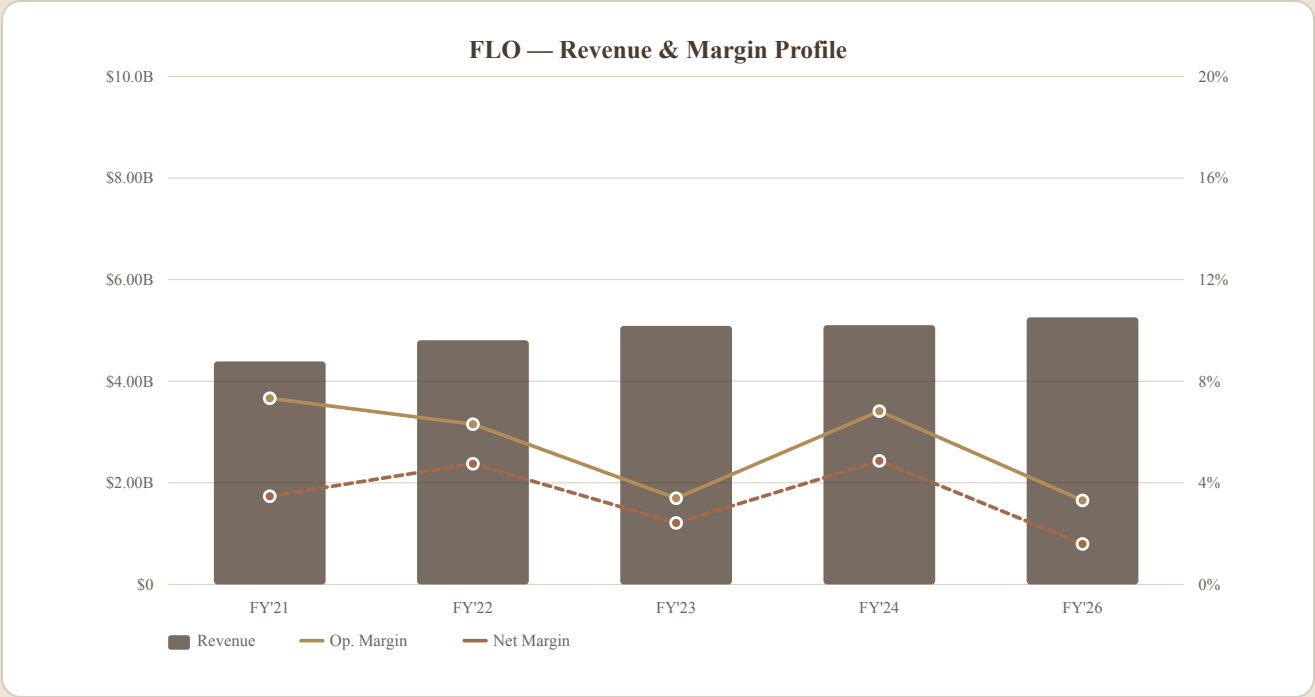
Net Income
$84M

Operating Margin
3.3%

Free Cash Flow
$319M

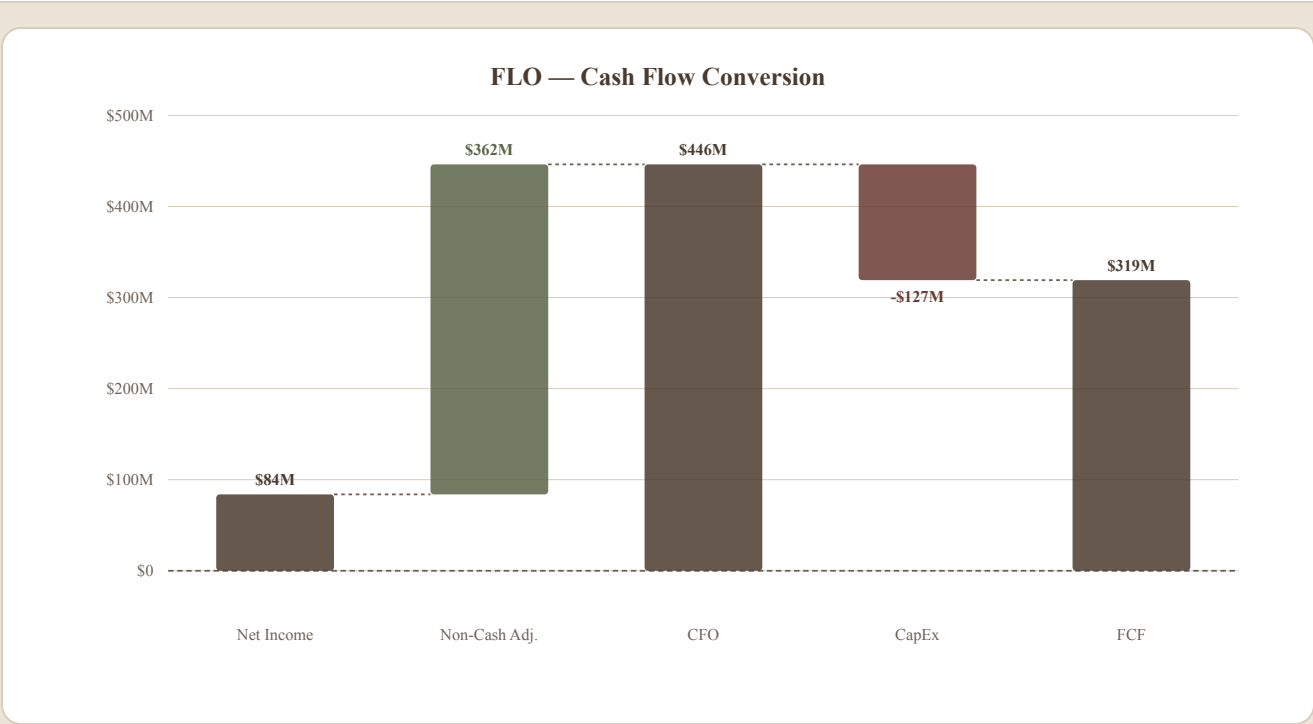
Visual Highlights

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	Unavailable	Unavailable	Unavailable
Return on Equity	6.2%	17.6%	-64.9%
Return on Assets	2.2%	7.3%	-69.7%
Gross Margin	Unavailable	Unavailable	Unavailable
Operating Margin	3.3%	6.8%	-51.5%
Net Margin	1.6%	4.9%	-67.2%
Earnings Per Share (Diluted)	$0.40	$1.17	-65.8%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$729M	$656M	11.1%
Current Liabilities	$976M	$549M	77.9%
Cash & Equivalents	$12M	$5.0M	141.8%
Cash, Cash Equivalents & Restricted Cash	Unavailable	Unavailable	Unavailable
Restricted Cash	Unavailable	Unavailable	Unavailable
Cash, Cash Equivalents & Short-Term Investments	Unavailable	Unavailable	Unavailable
Short-Term Investments	Unavailable	Unavailable	Unavailable

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Unavailable	Unavailable	Unavailable
Long-Term Debt	$1.76B	$1.02B	71.8%
Short-Term Debt	$400M	Unavailable	Unavailable
Total Debt	$2.15B	$1.03B	109.8%
Current Ratio	0.75x	1.20x	-37.6%
Debt-to-Equity	1.65x	0.73x	126.9%

Key Metrics Dashboard (Cont.)

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$5.26B	$5.10B	3.0%
Gross Profit	Unavailable	Unavailable	Unavailable
Operating Income	$174M	$348M	-50.0%
Net Income	$84M	$248M	-66.2%
Total Assets	$4.18B	$3.40B	23.0%
Total Liabilities	Unavailable	Unavailable	Unavailable
Stockholders' Equity	$1.30B	$1.41B	-7.6%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$446M	$413M	8.1%
Cash at End of Period (cash-flow statement)	Unavailable	Unavailable	Unavailable
Capital Expenditures	-$127M	-$132M	-3.8%
Free Cash Flow	$319M	$281M	13.7%

Commentary

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28

What stands out

- Net Income is currently $84M with -8.6% CAGR. Net Income has declined at a -8.6% CAGR.
- Operating Cash Flow is currently $446M with 8.3% CAGR. Operating Cash Flow has grown at a 8.3% CAGR.
- Revenue is currently $5.26B with 8.1% CAGR. Revenue has grown at a 8.1% CAGR.

Watch items

- The following governed risk signals are active in the locked annual basis.
- **Low liquidity:** Current ratio is 0.75x, below 1.0x.

Analyst interpretation

- FLO's profile is currently balanced without a dominant quantitative outperformance signal.
- Current ratio is 0.75x, below 1.0x.
- Current conclusions are anchored to a period-locked annual basis (2026-01-03).

Appendix

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28

Appendix A — FLO Income Statement

Metric	FY2026 (Jan)	FY2024
Revenue	$5.26B	$5.10B
Operating Income	$174M	$348M
Net Income	$84M	$248M
EPS (Basic)	$0.40	$1.18
EPS (Diluted)	$0.40	$1.17
Weighted Avg Shares (Diluted)	212.1M	212.1M
R&D Expenses	$9K	$5.1M
SG&A Expenses	$2.08B	$2.00B
Pretax Income	$115M	$329M
Income Tax Expense	$31M	$81M

Appendix B — FLO Balance Sheet (Part 1/2)

Metric	FY2026 (Jan)	FY2024
Total Assets	$4.18B	$3.40B
Total Stockholders' Equity	$1.30B	$1.41B
Current Assets	$729M	$656M
Current Liabilities	$976M	$549M
Cash & Equivalents	$12M	$5.0M
Total Debt (reported/reconciled)	$2.15B	$1.03B
Long-Term Debt	$1.76B	$1.02B
Short-Term Debt	$400M	Not reported

Appendix (Cont.)

FLO — Current period: 2026-01-03 | Prior period: 2024-12-28

Appendix B — FLO Balance Sheet (Part 2/2)

Metric	FY2026 (Jan)	FY2024
Inventory	$202M	$172M
Other Current Assets	$65M	$54M
Accounts Payable	$313M	$261M
Other Current Liabilities	$5.7M	$10M
Retained Earnings	$852M	$978M
AOCI	-$1.1M	$6.8M
Treasury Stock	-$278M	-$286M
Goodwill	$1.05B	$680M

Appendix C — FLO Cash Flow Statement

Metric	FY2026 (Jan)	FY2024
Operating Cash Flow	$446M	$413M
Capital Expenditures	-$127M	-$132M
Investing Cash Flow	-$943M	-$173M
Financing Cash Flow	$504M	-$258M
Dividends Paid	-$209M	-$203M
Share Repurchases	-$5.5M	-$23M
Depreciation & Amortization	$167M	$159M
Depreciation	$128M	$128M
Amortization of Intangibles	$39M	$31M
Debt Repayment	-$266M	-$352M

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
FLO	0001128928	0001193125-26-071441	10-K	2026-02-25	https://www.sec.gov/Archives/edgar/data/1128928/000119312526071441/flo-20260103.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-09.

Disclaimer: For research use only; not investment advice.